

September 25, 2025

Equity Market

Update

Indian equity markets are trading in a range bound manner since 1st few months. The month of July and August witness some profit booking after the rebound from the lows in the month of April 2025 and thereafter witnessed marginal profit booking.

Last 1 year have been volatile for markets with literally no real returns for investors. It was a tale of two halves wherein the first half saw a new government at the centre and consequent slowdown in capex spending (amid election year) as well as ensuing corporate earnings slowdown. While in the 2nd half, global geo-political issues surfaced which along with tariff led uncertainty which kept investors on the edge.

Domestically however markets found support by 100 bps rate cut by the RBI amid comforting inflation readings and impetus on growth through measures such as GST rate cut and income tax benefits.

The global economic outlook improved incrementally with U.S. equity markets continue to trade near all-time high levels despite trade agreement news flows and tariffs uncertainty. While crude oil prices have rebound from the low, overall commodity prices remain benign. Indian markets have underperformed its global peers in last one year.

FPI selling pressure has declined substantially in the first half of September series and in the first fortnight of the month, FIIs have sold just ~2k crores from the equity markets against ~20k crores outflow seen last month during the same time frame. Ongoing currency weakness can be attributed to the recent outflows as it aggravated the underperformance of Indian equities which is nearly -6% (YTD).

Outlook

As we embark on H2FY26, we expect the corporate earnings growth to recover, and consequently equity market to follow suit

Nifty Earnings for Q1FY26 came in on expected lines at 6.6% growth on YoY basis, adjusting for one-time gains. This is encouraging amidst fluid global macro-economics and geo-political tensions. Topline growth for Q1'26 is pegged at 6% YoY. Ex financials, PAT growth at Nifty is pegged at 7% YoY. On MCap segmental front, small caps posted a tad muted show with ~3% YoY decline in adjusted earnings. Mid-Caps however continue to outperform with ~16% YoY earnings growth led by gains at a leading Oil Marketing Co. among others. For listed universe, Sales/Adj. PAT growth stood at 6.4%/7.7% YoY respectively.

Notably, government has proposed GST 2.0 reforms recently which aims to rationalize the current multi-slab structure into a simpler framework, with two main rates of 5% and 18%, and a higher 40% slab for luxury and sin goods. The aim is to make products more affordable domestically and is likely to boost consumption especially amidst approaching festive season. The official notification is awaited & expected around/before Diwali'25. Notwithstanding geo-political tensions and tariff led uncertainty, we remain positive on markets.

Lower inflation and benign interest rate policy are likely to support domestic economic recovery. Above- average rainfall is driving optimism in rural focused sectors. Lower interest rates environment coupled with some tax relief on consumption may help consumer discretionary segments to perform better in the coming quarters

The long overdue correction came and subsequent recovery also happened swiftly giving investors little time to accumulate at lower levels. Investors need to act swiftly to invest at lower levels without waiting for further correction.

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Debt Market

Update

The FOMC delivered a 25bps rate cut in its recent meeting. The 'dot-plot' indicate a cumulative 75bps cut in 2025, 25bps cut in 2026 and 25bps cut in 2027. A cumulative 125bps rate cut is the current expectation. U.S. 10-year bond yield has fallen by almost 20bps in last 3 weeks, 60bps in last 4 months and 80bps since January this year to ~4.0%.

Bond yields in Indian debt market have moved up sharply in last one month post the last RBI monetary policy meeting and also post lower GST tax rate announcements as investors brace for higher G-Sec supply.

Amidst the ongoing scenario of externally induced growth concerns and domestic inflation printing below estimates, markets had over the last few weeks reengaged with the possibility of softish stance or further policy rate cuts

Prior to the recent uptick in yields post GST rate cut announcement, bond yields were trading in a narrow range albeit with an upward bias post.

CPI inflation rose marginally 2.07% as compared to 1.61% in July and at similar level of market expectation of around 2.1%. The base effect in food inflation continue to drive inflation lower with the trend of decline in Vegetables (-16%) and Oil & fats (-21%) continues. Cereals inflation (10% weight) continue to trend lower at 2.7% vs 3.03% in July. Month on Month inflation is rising since last 5 month at an average of 0.52%. The sharp decline inflation in last 4 months is led by base effect in food inflation (Lat year inflation in Vegetables, Cereals and Pulses were very high). In last 3 months, food inflation has started to inch up with 1%, 2% and 0.65% rise MoM Gold continue to contribute around 60bps to inflation (16.6% inflation).

Outlook

The Indian bond market has witnessed a significant sell-off since the June 6 RBI MPC announcement. This surprise sell-off was primarily induced by the increase in supply of longer dated G-Secs and SDLs, market's reading of RBI's change in stance as the end of easing cycle and fiscal worries emanating from GST rationalization with estimates of lower tax revenue growth.

The demand supply mismatch based on duration is expected to reverse and more monetary policy action is on the cards. The current spread between the 30/40-year bonds and the 10-year benchmark looks attractive at 70/80 bps.

With inflation under control and nominal growth slowing, we believe there is room for further rate cuts from the RBI. Such actions would likely stimulate growth and support bond prices in the short-to-medium term. Despite RBI's recent rate cuts, long-term yields are increasing, primarily due to higher government borrowing and potential fiscal pressures. The yield curve has steepened with central and state governments extending borrowing to longer maturities, offering attractive opportunities for investors in longer duration

Although short-term factors have caused some volatility in long-term yields, the structural drivers that typically influence the longer end remain supportive.

Given the current volatility, it may be an opportune time for long term investors to take advantage of the current yield and potential spread compression

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Industry Synopsis

Total Inflows (including NFOs) in the month of August came in lower at Rs 33430 crore as compared to Rs 42702 crore. Ex-NFOs, inflows were still strong at Rs 31329 crore as against Rs 33700 crore in July and were only marginally down. (Inflows in August is 4th highest after Oct/Noc 2024 and July 2025).

NFO inflows last month was Rs 9000 crore driven by sectoral fund Vs this month where NFO was just Rs 2100 crore.

Gross inflows were lower by 6000 crore while gross redemption were lower by Rs 5000 crore.

Inflows were higher in Largecap (2800 vs 2100) and Sectoral (2500 vs 2000). At similar levels in Flexicap (7635 vs 7650). Only marginally lower in Smallcap (5000 vs 5400) and Midcap (4700 vs 5200), Multicap Funds (3200 vs 3800). After Flexicap (which is a flagship category), Smallcap and Midcap category continue to saw highest inflows at a run-rate of around Rs 5000 crore.

Last 1 year Return: Nifty 50 index is ~0% while Nifty Smallcap Index is -6%. Still the inflow are strong despite the market fear that inflows will drop sharply if 1-Year return is Zero or negative.

ETFs also saw higher inflows at Rs 7200 crore vs Rs 4500 crore in July.

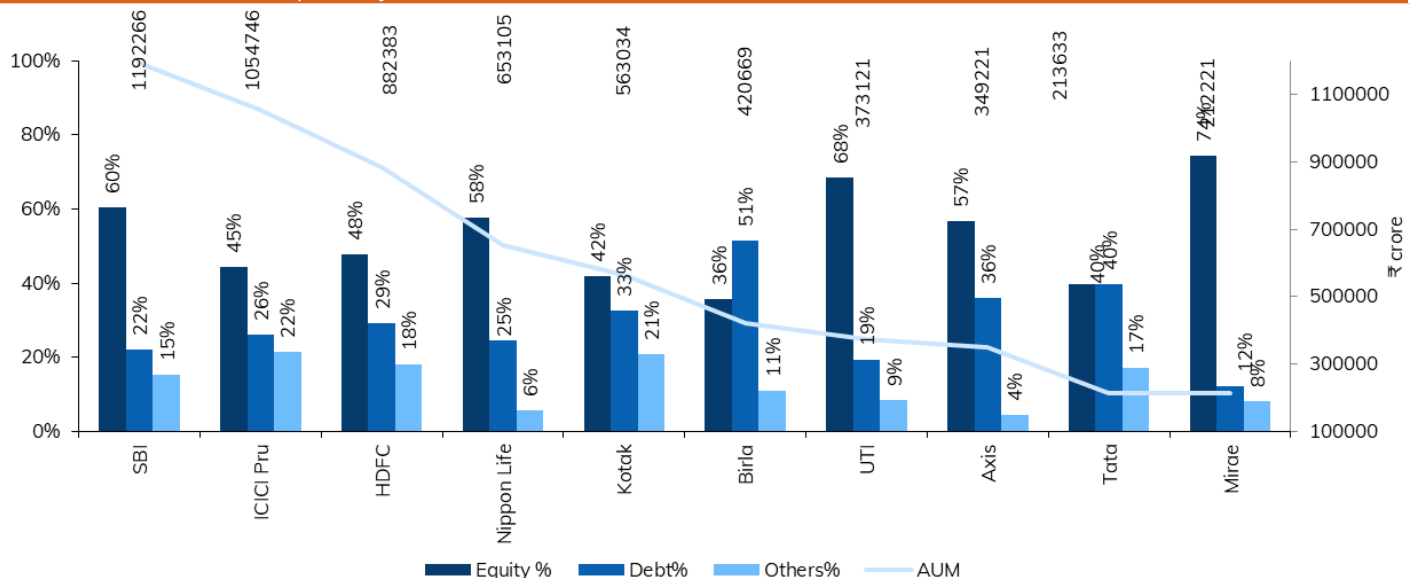
SIP inflows were marginally lower at Rs 28265 crore vs Rs 28464.

Average Monthly Inflows: (the trend of strong and steadily increasing inflows remain intact):

- Latest August 2025: Rs 31300 crore
- Jan to July 2025: Rs 26300 crore
- Jan to Dec 2024: Rs 25300 crore

Last 1 year Return: Nifty 50 index is ~0% while Nifty Smallcap Index is -6%. Still the inflow are strong despite the market fear that inflows will drop sharply if 1-Year return is Zero or negative.

Exhibit 1: Total AUM, break-up of major AMCs



Source: ACE MF. Data as on month-end August 2025

Equity funds: Smallcap/Midcap witness profit booking, consumption funds outperform

Midcap and smallcap funds witness marginal profit booking in last two months on heightened tariff related uncertainty. Prior to current profit booking, midcap/smallcap funds had outperformed in the recent pullback as market recovers from the lows in the month of March/April defying general market expectation of it to underperform.

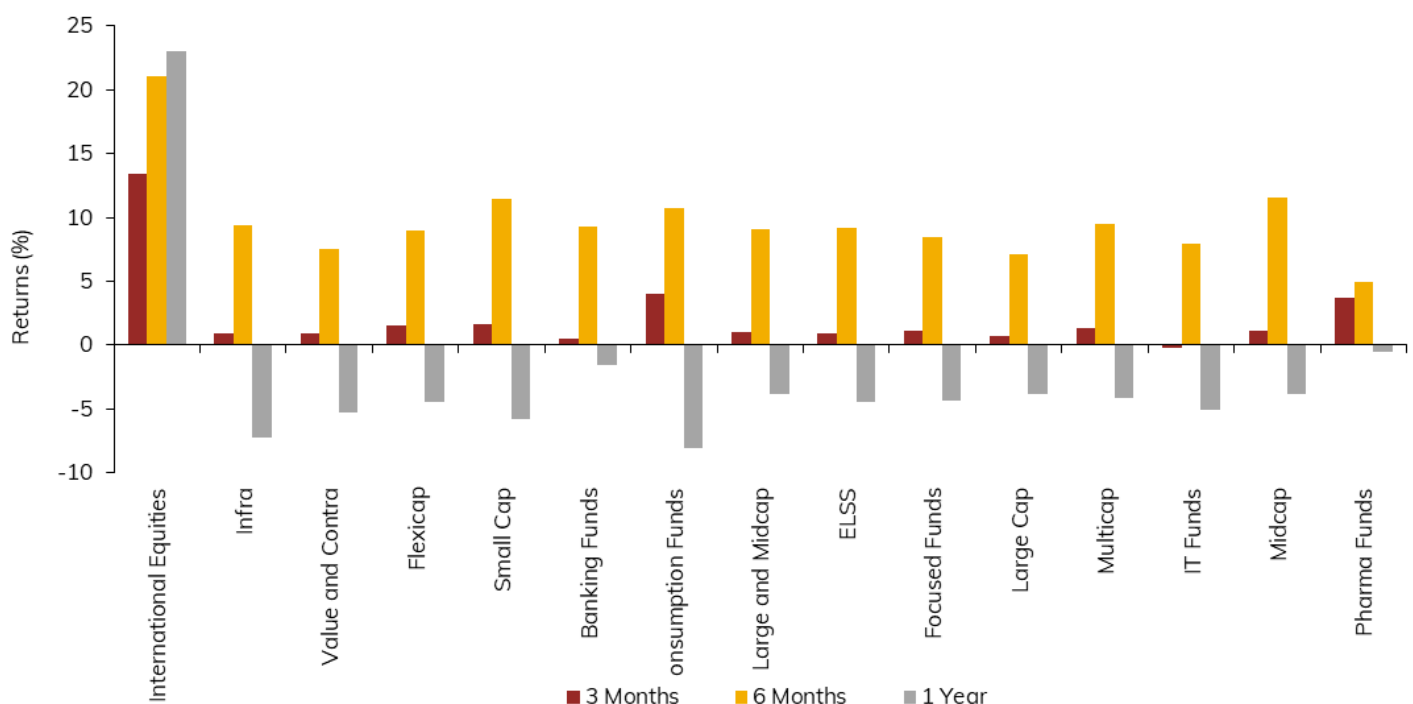
In the previous down cycle, midcap and smallcap funds underperformed during October 2024 to April 2025 market fall. During that period, largecap funds were down by about 16% while midcap/smallcap funds were down by around 22%. During the recovery from April 2025 till date, largecap funds are up by around 13% while midcap/smallcap funds have delivered around 24% return.

The earnings growth is relatively higher in many of the midcap and smallcap stocks and accordingly broad based funds offer selective investment opportunity. Investors need to be careful on outperforming midcap or smallcap funds as they are susceptible to significant underperformance during any market fall.

Sector rotation also remain at the centre stage as market recovers from the recent lows. Sectors like IT is witnessing sharp change in investor preference as investors booked profit recently after a brief period of outperformance. Similarly, Pharma and Infrastructure related sector also witnessed profit booking after it outperformed.

Banking sector after having underperformed for two years, has started to outperform since last few months. Concerns about asset quality being limited to certain pockets of unsecured retail segment has allayed concerns of wide spread NPAs. The same along with reasonable valuations and steady margins despite reversal in interest rate cycle have rejuvenated investor's confidence. Recent quarterly results of large private banks have further instilled the confidence of steady performance over next few quarters.

Exhibit 1: Smallcap funds outperform in the recent rally while Infrastructure funds also gaining along with banking funds



Source: CRISIL. Category average returns as on Sep 24, 2025.

Exchange traded funds (ETFs)

ETFs have already taken the world by storm, with assets under management (AUM) in such funds already surpassing that in traditional mutual funds in many countries. Passive funds emerged in the US more than two decades ago. The first modern day exchange traded fund (ETF) S&P SPDR (Spiders) started trading in the US in 1993. The market for ETFs has grown tremendously since then. Today, more than 2,000 ETFs are listed in the US. In India, the ETF landscape has gained traction since 2015 and has not only become much bigger but also more diverse. AUM for ETFs has grown from ~₹ 5400 crore in December 2014 to more than ₹ 8.0 lakh crore currently. While growth in ETF is driven by institutional flows led by EPFO in Nifty 50 and BSE Sensex ETF along with CPSE ETFs, inflows from individual investors have also started gaining traction.

This trend of allocation towards ETF is increasing and is likely to gain further traction. The ETF market is expected to grow on the back of continued thrust from the government and rising acceptance of such products as an investment vehicle by the retail segment.

ETFs are best placed from an asset allocation perspective as they do not carry any stock selection risk. Indian equity ETF market has grown with many categories of ETFs now available in large cap, midcap, thematic segments.

ETFs have a number of attractive features. Usually, they have much lower fees and can be bought and sold during the day as opposed to mutual funds that usually execute at the close. Earlier, there was primarily the Nifty or Sensex ETF but now there are many ETFs in the large cap space like Nifty Next 50 ETF. Similarly, in midcaps, Nifty Midcap 100 ETF and Nifty Midcap 150 ETF are available to take exposure to midcaps. Many thematic ETFs are also available like banking ETFs and Nasdaq 100 ETFs.

Within largecap ETFs, Nifty Next 50 ETF after having outperformed significantly in the calendar year 2023 and 2024 is in the midst of an underperformance since the peak in September 2024.

In general, most investors are better off sticking to the headline Nifty 50 index ETF as other category of ETFs are more volatile and cyclical in performance as compared Nifty 50.

Different category of investment options available under ETFs

Exhibit 2: Currently around 76 categories of ETFs available in Indian market

Nos.	Types of ETFs	Name of ETF	AUM (Cr)
I	Largecap oriented ETFs		
1	Nifty 50 ETF	Most AMCs (Highest- Nippon AMC)	48923
2	Sensex ETF	Most AMCs (Highest-ICICI Pru)	22094
3	Nifty 50 Equal Weight ETF	DSP Nifty 50 Equal Weight ETF	590
		SBI Nifty50 Equal Weight ETF	27
		Mirae Asset Nifty50 Equal Weight ETF	60
		Motilal Oswal Nifty 50 Equal Weight ETF	25
4	Nifty Top 10 Equal Weight ETF	DSP Nifty Top 10 Equal Weight ETF	718
5	BSE 100 ETF	SBI BSE 100 ETF	10
6	Nifty 100 ETF	LIC MF Nifty 100 ETF	741
		Nippon India ETF Nifty 100	308
		ICICI Pru Nifty 100 ETF	128
		HDFC Nifty 100 ETF	34
		Zerodha Nifty 100 ETF	57
7	Nifty 100 Equal Weight ETF	Kotak Nifty 100 Equal Weight ETF	2
8	Nifty 100 Low Vol 30 ETF	ICICI Pru Nifty 100 Low Volatility 30 ETF	3710
		Kotak Nifty 100 Low Volatility 30 ETF	175
		Mirae Asset Nifty 100 Low Volatility 30 ETF	44
		HDFC NIFTY100 Low Volatility 30 ETF	16
9	S&P BSE Low Volatility ETF	Motilal Oswal BSE Low Volatility ETF	85
10	Nifty Alpha Low Vol 30 ETF	ICICI Pru Nifty Alpha Low - Volatility 30 ETF	1774
11	NIFTY100 Quality 30 ETF	HDFC NIFTY100 Quality 30 ETF	24
12	Nifty 200 Quality 30 ETF	SBI Nifty 200 Quality 30 ETF	78
		ICICI Pru Nifty 200 Quality 30 ETF	176
		Aditya Birla SL Nifty 200 Quality 30 ETF	28
13	S&P BSE Quality ETF	Motilal Oswal BSE Quality ETF	19
14	Nifty 200 Momentum 30 ETF	ICICI Pru Nifty 200 Momentum 30 ETF	571
		Aditya Birla SL Nifty 200 Momentum 30 ETF	46
		Motilal Oswal Nifty 200 Momentum 30 ETF	127
		HDFC NIFTY200 Momentum 30 ETF	99
15	Nifty Next 50 ETF	Nippon India ETF Nifty Next 50 Junior BeES	6439
		Tata Nifty 50 ETF	713
		UTI-Nifty Next 50 ETF	1942
		ICICI Pru Nifty Next 50 ETF	1598
		Mirae Asset Nifty Next 50 ETF	747
		Aditya Birla SL Nifty Next 50 ETF	137
		HDFC NIFTY Next 50 ETF	89
		Motilal Oswal Nifty Next 50 ETF	1
16	Sensex Next 50 ETF	Nippon India ETF BSE Sensex Next 50	57
		SBI BSE Sensex Next 50 ETF	24
		UTI BSE Sensex Next 50 ETF	26
17	BSE Sensex Next 30 ETF	DSP BSE Sensex Next 30 ETF	28
18	Nifty 50 Value 20 ETF(NV20)	ICICI Pru Nifty50 Value 20 ETF	187
		Nippon India ETF Nifty 50 Value 20	177
		Kotak Nifty 50 Value 20 ETF	116
		HDFC NIFTY50 Value 20 ETF	36
19	BSE Enhanced Value ETF	Motilal Oswal BSE Enhanced Value ETF	121
20	Nifty Dividend Opportunities 50 ETF	Nippon India ETF Nifty Dividend Opportunities 50	75
21	NIFTY Growth Sectors 15 ETF	HDFC NIFTY Growth Sectors 15 ETF	24

II Midcap Oriented ETFs			
22	Nifty Midcap 50 ETF	Kotak Nifty Midcap 50 ETF	71
23	Midcap 100 ETF	LIC MF Nifty Midcap 100 ETF	713
		Motilal Oswal Nifty Midcap 100 ETF	693
24	Nifty Midcap 150	Nippon India ETF Nifty Midcap 150	2385
		Mirae Asset Nifty Midcap 150 ETF	1117
		ICICI Pru Nifty Midcap 150 ETF	495
		HDFC NIFTY Midcap 150 ETF	94
		Zerodha Nifty Midcap 150 ETF	99
		UTI Nifty Midcap 150 ETF	10
		Kotak Nifty Midcap 150 ETF	2
25	Midcap Select ETF	ICICI Pru BSE Midcap Select ETF	88
26	Nifty Midcap 150 Quality 50 ETF	DSP Nifty Midcap 150 Quality 50 ETF	104
27	Nifty MidSmallcap400 Momentum Quality 100 ET	Mirae Asset Nifty MidSmallcap400 Momentum Quality 100 ETF	356
III Smallcap Oriented ETFs			
28	Nifty Smallcap 250 Momentum Quality 100	Mirae Asset Nifty Smallcap 250 Momentum Quality 100 ETF	658
29	Nifty Smallcap 250 ETF	HDFC NIFTY Smallcap 250 ETF	1319
		Motilal Oswal Nifty Smallcap 250 ETF	121
III Multicap Oriented ETFs			
30	Nifty Total Market ETF	Angel One Nifty Total Market ETF	26
31	S&P BSE 500 ETF	ICICI Pru BSE 500 ETF	316
		HDFC BSE 500 ETF	18
32	Nifty 500 ETF	Motilal Oswal Nifty 500 ETF	154
33	Nifty 500 Momentum 50 ETF	Motilal Oswal Nifty 500 Momentum 50 ETF	216
		Groww Nifty 500 Momentum 50 ETF	18
34	Nifty500 Multicap Momentum Quality 50 ETF	Edelweiss Nifty500 Multicap Momentum Quality 50 ETF	28
35	Nifty500 Multicap 50:25:25 ETF	Mirae Asset Nifty500 Multicap 50:25:25 ETF	46
36	Nifty500 Value 50 ETF	Axis Nifty500 Value 50 ETF	11
37	Nifty 200 ETF	Groww Nifty 200 ETF	14
38	Nifty 200 Alpha 30 ETF	Mirae Asset Nifty 200 Alpha 30 ETF	430
39	Nifty200 Value 30 ETF	ICICI Pru Nifty200 Value 30 ETF	12
40	BSE 200 Equal Weight ETF	Mirae Asset BSE 200 Equal Weight ETF	13
41	Nifty Alpha 50 ETF	Kotak Nifty Alpha 50 ETF	699

IV	Sectors/Thematic/ Global ETFs		
42	Banking ETF	Nippon India ETF Nifty Bank BeES	7497
		Kotak Nifty Bank ETF	5352
		SBI Nifty Bank ETF	4016
		ICICI Pru Nifty Bank ETF	3053
		UTI Nifty Bank ETF	3674
		Aditya Birla SL Nifty Bank ETF	2658
		HDFC NIFTY Bank ETF	2737
		Axis NIFTY Bank ETF	363
		DSP Nifty Bank ETF	664
		Bajaj Finserv Nifty Bank ETF	344
		Mirae Asset Nifty Bank ETF	257
		Baroda BNP Paribas NIFTY Bank ETF	3
		Edelweiss Nifty Bank ETF	5
43	PSU Bank ETF	Nippon India ETF Nifty PSU Bank BeES	2950
		Kotak Nifty PSU Bank ETF	1596
		ICICI Pru Nifty PSU Bank ETF	71
		HDFC Nifty PSU Bank ETF	27
		Mirae Asset Nifty PSU Bank ETF	42
		DSP Nifty PSU Bank ETF	94
44	BSE PSU Bank ETF	SBI BSE PSU Bank ETF	480
45	Private Bank ETF	ICICI Pru Nifty Private Bank ETF	3194
		HDFC Nifty Private Bank ETF	327
		SBI Nifty Private Bank ETF	502
		DSP Nifty Private Bank ETF	416
		Tata Nifty Pvt Bank ETF	12
46	Nifty PSE ETF	Aditya Birla SL Nifty PSE ETF	31
47	Nifty India Railways PSU ETF	Groww Nifty India Railways PSU ETF	65
48	Financial Services ETF	Mirae Asset Nifty Financial Services ETF	431
49	Nifty Financial Services Ex-Bank	ICICI Pru Nifty Financial Services Ex-Bank ETF	203
50	Nifty Capital Market ETF	Motilal Oswal Nifty Capital Market ETF	63
51	BSE Capital Markets & Insurance ETF	Edelweiss BSE Capital Markets & Insurance ETF	17

52	Nifty IT ETF	Nippon India ETF Nifty IT	2438
		ICICI Pru Nifty IT ETF	432
		Axis NIFTY IT ETF	168
		Aditya Birla SL Nifty IT ETF	30
		Kotak Nifty IT ETF	342
		SBI Nifty IT ETF	70
		Tata Nifty India Digital ETF	169
		HDFC NIFTY IT ETF	50
		DSP Nifty IT ETF	40
53	Pharma/Healthcare	Mirae Asset Nifty IT ETF	134
		UTI Nifty IT ETF	6
		Nippon India Nifty Pharma ETF	942
		ICICI Pru Nifty Healthcare ETF	146
		Aditya Birla SL Nifty Healthcare ETF	37
		Axis NIFTY Healthcare ETF	20
		Motilal Oswal BSE Healthcare ETF	32
		DSP Nifty Healthcare ETF	11
54	Nifty India Consumption ETF	ICICI Pru Nifty India Consumption ETF	64
		Nippon India ETF Nifty India Consumption	162
		Axis NIFTY India Consumption ETF	14
		SBI Nifty Consumption ETF	21
		Kotak NIFTY India Consumption ETF	6
		Mirae Asset Nifty India New Age Consumption ETF	29
		ICICI Pru Nifty FMCG ETF	637
55	Nifty FMCG ETF	ICICI Pru Nifty Infrastructure ETF	342
		Nippon India ETF Nifty Infrastructure BeES	162
		Motilal Oswal BSE India Infrastructure ETF	2
57	BSE India Infrastructure ETF	Kotak NIFTY MNC ETF	37
58	NIFTY MNC ETF	Motilal Oswal Nifty Realty ETF	109
59	Nifty Realty ETF	ICICI Pru Nifty Auto ETF	168
60	Nifty Auto ETF	Nippon India Nifty Auto ETF	363
		Groww Nifty EV & New Age Automotive ETF	264
		Mirae Asset Nifty EV and New Age Automotive ETF	172
61	Nifty EV & New Age Automotive ETF	ICICI Pru Nifty EV & New Age Automotive ETF	26
		Mirae Asset Nifty India Manufacturing ETF	205
		Motilal Oswal Nifty India Manufacturing ETF	1
62	Nifty India Manufacturing ETF	Motilal Oswal Nifty India Defence ETF	557
		Groww Nifty India Defence ETF	204
		ICICI Pru Nifty Commodities ETF	88
63	Nifty Commodities ETF	ICICI Pru Nifty Metal ETF	155
		Mirae Asset Nifty Metal ETF	39
		ICICI Pru Nifty Oil & Gas ETF	163
64	Nifty Oil & Gas ETF	Mirae Asset BSE Select IPO ETF	15
65	BSE Select IPO ETF	Mirae Asset Nifty 100 ESG Sector Leaders ETF	121
66	Nifty 100 ESG Sector Leaders ETF	Nippon India ETF Nifty 50 Shariah BeES	46
67	Nifty 50 Shariah ETF	Motilal Oswal Nasdaq 100 ETF	10017
70	Global ETF	Motilal Oswal NASDAQ Q 50 ETF	87
		Mirae Asset NYSE FANG+ ETF	3245
		Mirae Asset S&P 500 Top 50 ETF	891
		Nippon India ETF Hang Seng BeES	948
		Mirae Asset Hang Seng TECH ETF	395
		CPSE ETF	33242
71	CPSE ETF	BHARAT 22 ETF	16043
72	BHARAT 22 ETF	Kotak MSCI India ETF	855
73	MSCI India ETF		

V Commodities: Gold ETFs			
74	Gold ETF	Most AMCs (Highest - Nippon AMC)	22355
75	Silver ETF	Nippon India Silver ETF	8078
		ICICI Pru Silver ETF	6254
		Aditya Birla SL Silver ETF	820
		Kotak Silver ETF	1395
		SBI Silver ETF	899
		HDFC Silver ETF	933
		DSP Silver ETF	740
		UTI Silver ETF	261
		Edelweiss Silver ETF	204
		Axis Silver ETF	277
		Tata Silver ETF	234
		Mirae Asset Silver ETF	120
		Zerodha Silver ETF	34
		360 ONE Silver ETF	9
VI Debt ETFs			
76	BHARAT Bond ETF - April 2030		25406
	BHARAT Bond ETF - April 2031		13284
	BHARAT Bond ETF - April 2032		10730
	BHARAT Bond ETF - April 2033		6334
	Nippon India ETF Nifty 1D Rate Liquid BeES		11847
	ICICI Pru BSE Liquid Rate ETF(IDCW)		1924
	DSP NIFTY 1D Rate Liquid ETF		544
	Mirae Asset Nifty 1D Rate Liquid ETF(IDCW)		506
	Zerodha Nifty 1D Rate Liquid ETF		5064
	Aditya Birla SL CRISIL Liquid Overnight ETF		46
	HDFC Nifty 1D Rate Liquid ETF(G)		48
	Kotak Nifty 1D Rate Liquid ETF		1431
	SBI Nifty 1D Rate Liquid ETF(IDCW)		43
	Groww Nifty 1D Rate Liquid ETF		59
	DSP NIFTY 1D Rate Liquid ETF		544
	Bajaj Finserv Nifty 1D Rate Liquid ETF(G)		965
	Shriram Nifty 1D Rate Liquid ETF		25
	Angel One Nifty 1D Rate Liquid ETF(G)		230
	SBI Nifty 10 yr Benchmark G-Sec ETF		3263
	ICICI Pru Nifty 10 yr Benchmark G-Sec ETF		498
	UTI Nifty 10 yr Benchmark G-Sec ETF		23
	Aditya Birla SL CRISIL 10 Year Gilt ETF		91
	Nippon India ETF Nifty 8-13 yr G-Sec Long Term Gilt		2932
	LIC MF Nifty 8-13 yr G-Sec ETF		2102
	Mirae Asset Nifty 8-13 yr G-Sec ETF		93
	Nippon India ETF Nifty 5 yr Benchmark G-Sec		287
	ICICI Pru Nifty 5 yr Benchmark G-SEC ETF		17
	Motilal Oswal Nifty 5 Year Benchmark G-Sec ETF		128
	UTI Nifty 5 yr Benchmark G-Sec ETF		25
	Aditya Birla SL CRISIL Broad Based Gilt ETF		46
	Nippon India ETF Nifty SDL Apr 2026 Top 20 Equal Weight		5096
	Axis Nifty AAA Bond Plus SDL Apr 2026 50:50 ETF		1107

Source: ACE MF. AUM as on July 2025. In Sensex and Nifty ETFs, SBI and UTI AMC has higher AUM but dominated by institutional flows.

Exhibit 3: Return of various category of ETFs

Name	1 Month	3 Months	6 Months	1 Year	3 Years	5 Years	10 Years
Largecap Oriented ETFs							
Nifty 50 ETF	-0.2	0.2	9.3	2.6	12.7	18.3	12.6
Sensex ETF	-0.4	-0.5	7.9	2.3	11.8	17.5	12.6
Nifty 50 Equal Weight ETF	0.6	1.4	10.9	1.7	16.4	-	-
BSE 100 ETF	-0.4	0.3	10.1	1.4	13.6	19.1	13.0
Nifty 100 ETF	-0.3	0.2	9.9	0.4	12.4	17.9	12.3
Nifty 100 Equal Weight ETF	-0.2	1.5	-	-	-	-	-
Nifty 100 Low Vol 30 ETF	1.0	2.5	8.5	1.9	15.6	18.3	-
Nifty Top 10 Equal Weight ETF	-2.5	-3.7	4.2	-	-	-	-
S&P BSE Low Volatility ETF	-0.7	0.6	7.4	-1.7	15.4	-	-
Nifty Alpha Low Vol 30 ETF	-0.2	-0.6	6.2	-10.0	16.6	18.1	-
Nifty 200 Quality 30 ETF	-1.6	-1.1	7.2	-6.7	12.1	16.0	-
S&P BSE Quality ETF	-2.2	-1.7	10.2	-10.5	-	-	-
BSE Enhanced Value ETF	-3.8	-0.2	13.0	-4.2	-	-	-
Nifty Next 50 ETF	-0.9	0.9	13.9	-6.9	16.2	20.1	12.8
Sensex Next 50 ETF	-1.2	1.0	14.3	0.0	18.8	23.4	-
BSE Sensex Next 30 ETF	0.2	2.1	16.1	-	-	-	-
Nifty 50 Value 20 ETF(NV20)	-1.4	-2.8	-0.1	-8.1	13.3	19.3	14.3
Nifty Dividend Opportunities 50 ETF	-3.2	-2.7	2.3	-10.7	17.9	21.1	14.0
NIFTY Growth Sectors 15 ETF	0.3	1.6	2.9	-4.7	-	-	-
Midcap Oriented ETFs							
Nifty Midcap 50 ETF	-3.0	0.8	15.5	-0.3	24.0	-	-
Midcap 100 ETF	-3.3	0.3	15.1	-0.5	22.4	28.5	15.4
Nifty Midcap 150 ETF	-2.6	1.7	15.9	0.1	22.0	28.1	-
Midcap Select ETF	-2.4	0.2	12.2	-3.9	17.7	22.1	-
Nifty Midcap 150 Quality 50 ETF	-3.0	0.0	14.0	-2.3	12.3	-	-
MidSmall Cap ETF							
Nifty MidSmallcap400 Momentum Quality 1	-4.4	-2.2	12.9	-9.7	-	-	-
Smallcap Oriented ETFs							
Nifty Smallcap 250 Momentum Quality 100	-7.0	0.1	12.6	-12.9	-	-	-
Nifty Smallcap 250 ETF	-5.6	3.1	18.5	-2.7	-	-	-
Multicap Oriented ETFs							
Nifty Alpha 50 ETF	-3.0	0.8	15.7	-13.4	18.5	-	-
Nifty200 Value 30 ETF	-2.6	0.1	14.1	-	-	-	-
BSE 200 Equal Weight ETF	-2.0	0.3	-	-	-	-	-
Nifty Total Market ETF	-1.4	0.9	-	-	-	-	-
Nifty500 Multicap Momentum Quality 50 ET	-4.0	-3.2	10.6	-	-	-	-
Nifty500 Multicap 50:25:25 ETF	-2.2	1.4	13.5	-	-	-	-
Nifty500 Value 50 ETF	-2.3	0.6	-	-	-	-	-
S&P BSE 500 ETF	-1.3	0.7	11.6	-0.3	14.6	20.4	-
Nifty 500 ETF	-1.3	0.8	11.9	0.3	-	-	-
Nifty 500 Momentum 50 ETF	-1.7	-1.0	10.7	-	-	-	-
Nifty 200 ETF	-0.8	0.2	-	-	-	-	-
Nifty 200 Alpha 30 ETF	-0.2	3.2	15.7	-11.8	-	-	-

Sector/Thematic/Global ETFs							
PSU Bank ETF	-1.5	6.2	20.5	3.1	34.3	38.0	6.6
Nifty Bank ETF	-0.7	1.2	14.3	11.0	12.7	20.9	11.7
Nifty Pvt Bank ETF	-2.0	-2.2	10.4	7.0	10.4	17.8	-
Nifty Financial Services ETF	0.5	1.2	15.3	16.8	14.0	-	-
Nifty IT ETF	-6.6	-8.0	-15.6	-13.6	6.7	-	-
Healthcare ETF	-0.1	4.3	8.9	5.7	22.0	-	-
Nifty India Consumption ETF	3.5	4.3	14.7	3.0	16.0	19.4	13.8
Nifty Infrastructure ETF	-1.7	0.2	13.8	-1.3	20.5	22.7	11.2
BSE PSU Bank ETF	-1.7	6.4	-	-	-	-	-
Nifty PSE ETF	-3.8	-3.8	14.8	-13.0	-	-	-
Nifty India Railways PSU ETF	-8.5	-10.1	5.8	-	-	-	-
Nifty Financial Services Ex-Bank ETF	-0.1	4.4	21.1	20.0	-	-	-
Nifty Capital Market ETF	-3.0	10.7	-	-	-	-	-
BSE Capital Markets & Insurance ETF	0.1	9.5	30.3	-	-	-	-
Nifty FMCG ETF	-2.0	-2.1	6.4	-9.5	10.0	-	-
BSE India Infrastructure ETF	-3.0	-2.5	-	-	-	-	-
NIFTY MNC ETF	0.2	4.0	13.1	-4.0	14.8	-	-
Nifty Realty ETF	-10.0	-1.4	8.1	-14.4	-	-	-
Nifty Auto ETF	5.5	5.6	15.9	-1.3	24.8	-	-
Nifty EV & New Age Automotive ETF	1.0	1.7	10.7	-9.6	-	-	-
Nifty India Manufacturing ETF	0.3	1.7	14.8	-2.1	19.9	-	-
Nifty India Defence ETF	-4.2	-6.0	52.4	-	-	-	-
Nifty Commodities ETF	-1.5	0.1	13.3	-3.9	-	-	-
Nifty Metal ETF	-0.6	2.3	14.0	4.8	-	-	-
Nifty Oil & Gas ETF	-6.1	-4.7	10.7	-14.4	-	-	-
MSCI India ETF	-0.8	0.2	-	-	-	-	-
Nifty 100 ESG Sector Leaders ETF	0.0	0.4	11.0	2.7	12.2	-	-
Nifty 50 Shariah ETF	-1.9	-3.7	-1.8	-14.4	5.1	11.4	9.8
Hang Seng ETF	3.3	11.1	11.4	53.2	15.1	5.5	6.1
Hang Seng TECH ETF	2.5	8.1	-0.6	67.7	13.8	-	-
Nasdaq 100 ETF	4.3	13.0	7.5	26.5	24.5	19.6	21.1
Nasdaq Q 50 ETF	5.9	12.2	3.6	27.5	13.8	-	-
NYSE FANG+ ETF	4.7	15.7	11.2	42.6	43.1	-	-
S&P 500 Top 50 ETF	5.2	14.0	7.5	24.5	23.1	-	-
Mirae Asset BSE Select IPO ETF	-0.5	4.4	-	-	-	-	-
Bharat 22 ETF	-1.2	-1.6	11.5	-7.0	27.0	31.9	-
CPSE ETF	-2.4	-1.9	15.9	-11.0	36.1	37.5	14.8
Commodities ETFs							
Gold ETF	1.3	6.7	15.5	39.1	22.7	11.8	13.2
Silver ETF	1.2	19.7	18.1	38.0	24.6	-	-

Source: ACE MF. Return as on Aug 18, 2025

Hybrid funds

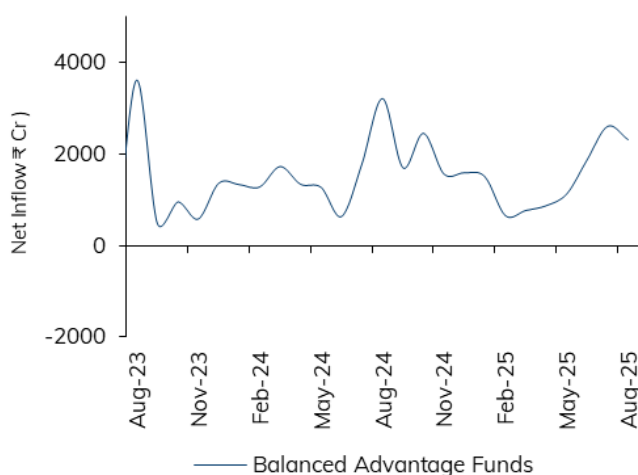
The hybrid funds category is dominated by aggressive hybrid funds (erstwhile balanced funds) and balanced advantage or dynamic asset allocation funds.

The trend of outflow continued in the aggressive hybrid category. The category has witnessed consistent outflows in the last many months.

Balanced Advantage Funds or Dynamic Asset Allocation category have been witnessing consistent inflows in the last few years as many investors prefer to invest in dynamically managed equity funds due to higher equity levels. The category has grown significantly over the last few years and AUM of the category is currently around ₹ 3.0 lakh crore.

Arbitrage funds, as a category, have been popular among investors for parking money temporarily in a tax efficient manner.

Exhibit 4: Flows have improved in BAFs since last 6 months



Source: AMFI

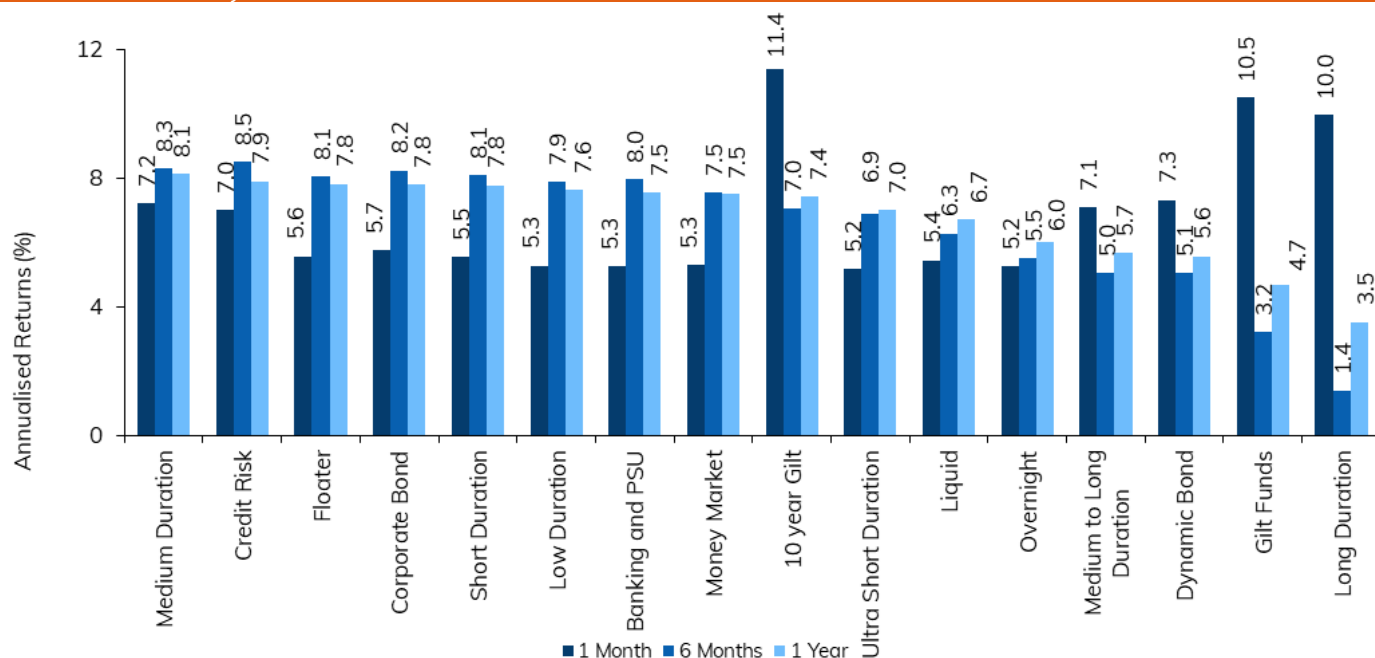
Exhibit 5: BAFs AUM near 2.9 lakh crore

Hybrid Category	Inflow/(Outflow) during Aug 2025	AUM
Dynamic Asset Allocation/Balanced Advantage	2,316	3,04,727
Arbitrage Fund	6,667	2,58,923
Balanced Hybrid Fund/Aggressive Hybrid Fund	1,870	2,36,818
Multi Asset Allocation	3,528	1,32,104
Equity Savings	869	46,236
Conservative Hybrid Fund	44	29,268

Source: ACE MF

Debt Funds

Exhibit 6: Long duration funds outperformed in last one month as yields decline from recent sell-off. Medium term funds better placed since last one year



Source: CRISIL. Category average returns as on Sep 24, 2025.



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